

COMMERCIAL ASSESSMENT MEMORANDUM

TO: Chief Financial Officer; Head of Supply Chain Wheatbelt Agronomy Supplies Ltd
FROM: Commercial Analyst
DATE: 29 May 2026
RE: Working Capital Stress Assessment - Liquidity Position and Remediation Options, May 2026

CLASSIFICATION: Internal - Confidential

DISCLAIMER: This memorandum has been prepared for portfolio and skills demonstration purposes using publicly available data applied to a fictional entity. Wheatbelt Agronomy Supplies Ltd (WAS Ltd) is a fictional company created solely for illustrative purposes. This memorandum does not constitute financial or investment advice.

1. SITUATION SUMMARY AND MARKET CONTEXT

Wheatbelt Agronomy Supplies Ltd enters the 2026 winter planting window under simultaneous pressure from three converging forces: a sharp escalation in upstream fertiliser costs, a material deterioration in debtor payment behaviour across the farming client base, and an elevated cost of short-term bank financing. Each of these pressures is independently manageable under normal conditions. Their simultaneous occurrence in May 2026 - the peak of the pre-seeding inventory build-up period - creates a compounding liquidity crisis that this assessment seeks to quantify and address.

Global urea prices have risen from an annual average of US\$422.70 per metric tonne in 2025 to US\$856.90 per metric tonne in April 2026, representing a 102% increase from the 2025 annual average to the April 2026 spot price. A blended effective cost increase of 51.3% is applied in this assessment to reflect pre-purchased inventory held at lower prices. As confirmed by Professor Marit Kragt of The University of Western Australia, writing in *The Conversation* on 2 April 2026, Australian winter crop producers - who sow the majority of their wheat, barley, and canola between April and June - face acute supply and cost pressure at precisely the moment when input purchasing is non-discretionary. For WAS Ltd, which supplies bulk granular urea and associated crop inputs to more than 450 broadacre farming enterprises across five regional hubs, the cost of stocking warehouses for this season has approximately doubled relative to prior years.

Concurrently, the farming client base is experiencing severe margin compression. Broadacre farm input costs, of which fertiliser represents approximately 13% according to ABARES survey data, have risen sharply while grain prices have not adjusted commensurately. Farmers are conserving cash by extending payment beyond standard 30-day trade terms - a pattern specifically documented for the Australian agri-food sector in the Atradius B2B Payment Practices Trends report for 2025. The Reserve Bank of Australia's indicator lending rate for

small business variable overdrafts stands at 10.51% per annum as of April 2026, making the cost of bridging the resulting cash gap through the company's existing bank facility materially higher than in prior seasons.

2. COMPANY PROFILE AND FINANCIAL BASELINE

WAS Ltd is an unlisted private agribusiness company established in 1998, headquartered in Merredin with active warehouse and fulfilment hubs in Geraldton, Northam, Katanning, and Esperance. The company generates annual revenue of A\$45 million across a product mix comprising bulk agri-inputs (approximately 85% of revenue) and fee-based agronomy advisory services (approximately 15%). The business employs 24 full-time equivalent staff and is privately held by the founding management team and a closed group of WA farming family shareholders who are also core customers.

Under base case operating conditions, the financial profile is as follows:

Table 1 - Base Case Financial Profile

Metric	Value
Annual Revenue	\$45,000,000
Gross Margin	11.5%
Gross Profit	\$5,175,000
Total Operating Expenditure	\$3,451,600
Net Profit (before overdraft interest)	\$1,723,400
Net Margin	3.83%
Cash Conversion Cycle	80 days
Net Working Capital	\$9,366,781

Source: WAS Ltd internal model. Gross margin benchmarked against Elders Limited FY2025 Investor Presentation (retail products segment 12.5%), adjusted downward for SME scale and absence of proprietary products.

The base-case gross margin of 11.5% reflects a structurally thin operating model characteristic of independent agri-input distributors - sufficient to sustain the business under normal conditions, but with limited capacity to absorb simultaneous cost and financing shocks.

3. BASE CASE AND STRESS CASE ANALYSIS

Under current market conditions - which this assessment defines as the stress case - three variables have deteriorated simultaneously from their base-case positions.

The cost of stocking bulk urea has increased materially. Applying a blended purchase price of US\$639.80 per metric tonne (reflecting 50% of annual volume pre-purchased at the 2025 average price and 50% purchased at the April 2026 spot price), and assuming WAS Ltd can pass through approximately 70% of the cost increase to farming clients given competitive pricing constraints imposed by the presence of Elders and Nutrien Ag Solutions across all five hub locations, the company absorbs 30% of the total cost increase. This absorbed amount of A\$2,147,695 flows directly into cost of goods sold, compressing gross margin from 11.5% to 6.73% and converting an A\$1,723,400 operating profit into an A\$424,295 operating loss before any financing costs.

Days Sales Outstanding has deteriorated from a base case of 45 days to an estimated 80 days under current conditions. This reflects the documented tendency of Australian agri-food sector businesses to extend payment terms during periods of farm-level financial stress, as evidenced by the Atradius 2025 Australian payment practices survey. The 35-day extension in average collection period, on an annual revenue base of A\$45 million, increases net working capital requirements by approximately A\$4.75 million. At the prevailing overdraft rate of 10.51% per annum, this incremental working capital gap generates additional financing cost of A\$499,330 annually.

The combined stress-case result is summarised below:

Table 2 - Base Case versus Stress Case

Metric	Base Case	Stress Case	Variance
Gross Margin	11.5%	6.73%	(4.77%)
Net Profit	\$1,723,400	(\$923,625)	(\$2,647,025)
Net Margin	3.83%	(2.05%)	(5.88%)
Cash Conversion Cycle	80 days	117 days	37 days
Net Working Capital	\$9,366,781	\$14,117,780	\$4,750,999
Overdraft Interest Cost	0	\$499,330	\$499,330

Source: WAS Ltd working capital model, May 2026.

The earnings deterioration of A\$2,647,025 is attributable primarily to gross margin compression (A\$2,147,695, representing 81% of the total swing) rather than to working capital financing cost (A\$499,330, representing 19%). This decomposition is analytically significant: it establishes that the fundamental threat to the business is a structural cost absorption problem, not a working capital management failure.

4. SENSITIVITY ANALYSIS AND SOLVENCY THRESHOLD

To identify the conditions under which the business crosses the solvency boundary, a two-variable sensitivity analysis was conducted varying Days Sales Outstanding (45 to 100 days) against the urea cost pass-through rate offered to farming clients (40% to 100%).

The results establish a clear finding: the solvency boundary lies between 70% and 80% pass-through rate, and it is determined predominantly by pass-through rate rather than by DSO. At pass-through rates of 70% or below, WAS Ltd generates an operating loss at every level of DSO tested - including the base-case DSO of 45 days. At 80% pass-through, the business is profitable at low DSO levels but moves into loss as DSO approaches and exceeds 70 days. At pass-through rates of 90% or above, the business remains profitable across the full DSO range modelled.

This finding has a direct implication for management prioritisation: working capital management - however effective - cannot restore profitability if the pass-through rate remains below 80%. The sensitivity table confirms that improving DSO from 80 days to 45 days while holding pass-through at 70% reduces the net loss from A\$877,809 to A\$424,295 but does not cross the solvency line. Pricing recovery is the critical variable.

A recovery scenario was modelled applying three specific operational levers: an early payment discount of 1.5% offered to farming clients paying within 14 days (estimated 30% uptake), an inventory drawdown reducing DIO from 67 to 57 days, and a partial supplier term extension negotiating DPO from 30 to 35 days on one upstream supplier. The combined effect of these three levers improves net profit from (A\$923,625) to (A\$502,870) - a recovery of approximately 46% of the stress loss - while nearly restoring the Cash Conversion Cycle to its base-case level of 80 days (recovery case: 82 days). The business nonetheless remains loss-making because gross margin compression is unchanged across the recovery scenario. The three levers address the financing-cost side of the problem; they do not address the root cause.

Table 3 - Three-Scenario Summary

Metric	Base Case	Stress Case	Recovery Case
Net Profit	1,723,400	(\$923,625)	(\$502,870)
Net Margin	3.83%	(2.05%)	(1.12%)
Cash Conversion Cycle	80 days	117 days	82 days
Overdraft Interest	0	\$499,330	\$45,287
Earnings vs Base	-	(\$2,647,025)	(\$2,226,270)

Source: WAS Ltd working capital model, May 2026.

5. RECOMMENDATIONS AND CONDITIONS

It is recommended that management pursue a two-track response, prioritising pricing recovery as the primary intervention and working capital optimisation as a concurrent supporting measure.

On pricing, the analysis establishes that a pass-through rate of at least 80% is required for the business to reach profitability under current input cost conditions. Management should immediately review the pricing position across all product lines, with particular focus on bulk urea and nitrogen products where the cost increase is most acute. Where direct price increases risk client attrition, management should explore structured surcharges, fuel and freight recovery levies, or seasonal price agreements that share input cost risk with farming clients over a defined period. The relationship-based nature of the business and its concentrated regional footprint across five hubs provide some pricing leverage that should be exercised before the seeding window closes.

On working capital, the three recovery levers modelled in this assessment - early payment discount, inventory drawdown, and supplier term extension - should be implemented immediately and concurrently. The early payment discount of 1.5% for payment within 14 days carries a total cost of approximately A\$33,000 at 30% uptake and generates a disproportionate reduction in overdraft financing cost. Management should communicate the offer directly to the highest-value accounts first, targeting the 20% of clients who likely represent 80% of outstanding receivables by value. Inventory drawdown should be executed by deferring discretionary pre-seeding stock orders where supplier lead times permit, targeting a reduction in average days on hand from 67 to 57 days and releasing approximately A\$700,000 in cash from warehouse holdings.

On financing, management should engage the company's banking relationship immediately to discuss the appropriateness of the current overdraft facility structure for the business's working capital profile. A dedicated seasonal working capital facility at a lower rate than the current variable overdraft rate of 10.51% would reduce the financing cost of the incremental working capital gap materially. By way of illustration, a A\$5 million facility at a negotiated rate of 8% would reduce stress-case overdraft interest from A\$499,330 to approximately A\$380,000, improving net profit by approximately A\$119,000.

The limitations of this assessment should be noted. All working capital metrics are derived from industry benchmarks and operational reasoning rather than from actual ledger data, which would be available in a real engagement. The pass-through-rate assumption of 70% represents a midpoint estimate; actual pass-through achieved will depend on competitive dynamics at each hub location and individual account negotiation outcomes. The sensitivity analysis assumes DIO and DPO remain at base-case levels while DSO and pass-through rate vary - a simplification that understates the full range of possible outcomes under combined stress.

Prepared by: Shin Tran

Data: World Bank Pink Sheet (May 2026); Reserve Bank of Australia Table F5 April 2026; Elders Limited FY2025 Investor Presentation; Nutrien Ltd 2025 Annual Report; Atradius B2B Payment Practices Australia 2024 and 2025; ABARES Farm Survey Data; Australian Institute of Petroleum Terminal Gate Prices May 2026; ATO Superannuation Guarantee Rates FY2025-26.